

WELCOME TO THE AGE OF DAPPS AND CRYPTOTOKENS

Since the launch of Ethereum, a near endless stream of dApps have been released to run on it, many of which have their own native unit. We refer to many of these dApp native units as cryptotokens, while others refer to them as *appcoins*. A dApp with its own native cryptotoken will use ether as a cryptocommodity to pay the Ethereum network to process certain dApp transactions. While many dApps use a cryptotoken, the native units of some dApps should be classified as a cryptocommodity layered on top of Ethereum, like Golem, which aims to be a supercomputer for compute intensive problems. The difference boils down to whether a raw digital resource is being provisioned (cryptocommodity) or if the dApp is providing a consumer-facing finished digital good or service (cryptotoken).

Most cryptotokens are not supported by their own blockchain. Often these cryptotokens operate within applications that are built on a cryptocommodity's blockchain, such as Ethereum. To continue with the Apple analogy: applications in Apple's App Store don't have to build their own operating systems, they run on Apple's operating system. Due to Ethereum's wild success, other decentralized world computers have popped up, such as Dfinity, Lisk, Rootstock, Tezos, Waves, and more that can support their own dApps. Just as many altcoins tried to improve upon Bitcoin, these platforms are cryptocommodities that aim to improve upon